“It Ain’t Over Till It’s Over” A Report on the Fall of Standard Oil.

During the Gilded Ages of the United States (1870-1890), the country began to go from a society focused on agriculture to a society focusing on the future: Industrialization. During this major shift, many early adopters of big sectors, such as Andrew Carnegie and John D. Rockefeller, were able to seize huge amounts of market power with no end in sight. The following unrest pushed Congress to pass the 1890 Sherman Antitrust Act, the first of its kind piece of legislation that made “...combination in the form of trust or other- wise, or conspiracy, in restraint of trade or commerce“(National Archives, 2021; Wilgus, 1911) illegal. However, the focus of this paper is not United States History, but instead the fall of *Standard Oil*. Their tactics of vertical integration, railroad rebates, acquisition, and merging allowed them to have one of the largest monopolies in the United States, and their fight against their own dissolution led to the landmark Supreme Court Case *Standard Oil Company of New Jersey v. United States*, which reinterpreted the Sherman Antitrust Act and established the “rule of reason” interpretation of Section One of the Antitrust Act. (Standard Oil Co. of New Jersey v. United States, 1911; Wilgus, 1911)

Strictly speaking, *Standard Oil* was in the oil refinery business. (Camden & Welch, 1883; Montague, 1902) However, *Standard Oil* had their tentacles covering large portions of different sectors in order to keep its identity as a powerhouse. Rockefeller knew that in order to run a complete monopoly, he would need to get costs ridiculously cheap. He found that the best way to do this was to own all steps of production, what we now know today is vertical integration. (Montague, 1902). Because of the sheer volume of oil that *Standard Oil* was producing, they were able to obtain very favorable (bulk) freight rates because they could guarantee a large volume of shipments. (Crane, 2018; Montague, 1905) Since they also handled their own loading and unloading, their shipping rates were brought down even further, and other companies simply couldn’t compete (Crane, 2018; Montague, 1903). But even that was not enough for the *hungry octopus*, who also was able to control major pipelines and secure dominance in exporting petroleum. In 1871, Rockefeller and several of his close associates bought 1,375 of the *South Improvement Co.*’s 2,000 shares, which was a secret railroad and oil refiner alliance that sought to control the Petroleum distribution (Wilgus, 1911). After they were made owners of the company, *South Improvement Co.* They agreed to double the freight rates, giving rebates to Standard Oil and associated companies, and charging competitors a drawback

fee, which went straight to *Standard Oil* (Crane, 2018; Montague, 1902; Wilgus, 1911). After the secret was leaked to the press, *South Improvement Co.* was dissolved by the State of Pennsylvania, but the fear of this predatory pricing led many oil refineries in the area to be bought out by Standard Oil, which grew their monopoly even further (Crane, 2018; Montague, 1902; Wilgus, 1911)

Certainly, *Standard Oil* did have market power. In 1879, *Standard Oil* entered a secret trust agreement by the 37 stockholders of *Standard Oil Company of Ohio*. (Wilgus, 1911) They acquired the stocks of 30 separate competing oil refinery companies and turned them over to the trustees who controlled *Standard Oil Company of Ohio*, creating the *Standard Oil Trust.* (Wilgus, 1911). This gave *Standard Oil* control of 95% of the refinery industry (Montague, 1902; Montague, 1903; Wilgus, 1911). They also were the largest exporter of refined oil in the United States, as they supplied 90% of the exports (Montague, 1903). They also accounted for 80% of domestic trade (Montague, 1903). 3 years after that, in 1882, 10 more corporations were brought into the Trust, which brought a valuation of an unheard of $70,000,000 in 1882 dollars.

In March of 1892, the Supreme Court of Ohio "declared the Trust illegal and ordered its dissolution" (Wilgus, 1911). They obliged, but not without a fight. The trustees appointed themselves as the liquidating trustees, and broke up the *Standard Oil Trust* into different companies (Montague, 1903; Wilgus, 1911). However, they distributed the stocks amongst themselves so they all stayed relative owners of each of the companies that came from the dissolution (Montague, 1903; Wilgus, 1911). In 1897, the Attorney General of Ohio filed contempt proceedings against *Standard Oil Co* for not dissolving the trust in good faith, but testimonies from Rockefeller himself as well as other high ranking officials of the company persuaded the court and the case was dismissed (Wilgus, 1911). However, in 1899, *Standard Oil of New Jersey* started to reorganize and build back up what *Standard Oil Trust* used to be, owning "directly the stock of 65 sub-companies" (Wilgus, 1911). In 1906, the United States Department of Justice sued *Standard Oil Company* for violating the Sherman Antitrust Act. The report was a staggering 12,000 pages long and detailed 40 years of "nefarious business dealings that purposefully and illegally excluded competitors from the market" (Crane, 2018). A federal circuit court agreed with the Department of Justice, and in 1909 *Standard Oil Company of New Jersey* was ordered to dissolve. They appealed to the Supreme Court, and it was argued in March of the next year. (Standard Oil Co. of New Jersey v. United States, 1911)

Now, the Supreme Court has a hard case to fight. They have heard monopoly cases before, and because of the wording of the Sherman Antitrust Act, they have let some monopolies keep their powers. For example, In *United States v. E. C. Knight Company*, American Sugar Refinery Company (ASRC), a sugar refinery company, bought all of the stock in the four competing sugar refineries in Philadelphia, which gave ASRC control of 98% of the sugar refinery market (United States v. E. C. Knight Company, 1894) and a monopoly on the "refining and sale of sugar in the United States"(Wilgus, 1911). It was brought to the Supreme Court for violating the Sherman Antitrust Act, and the Supreme Court actually upheld ASRC's monopoly (United States v. E. C. Knight Company, 1894; Wilgus, 1911). Since the wording of the Sherman Antitrust Act only prohibits monopolies that affect interstate commerce, ASRC (United States et. al, 1894) was not in violation of the Sherman Antitrust Act because it stayed within the borders of Pennsylvania.

Standard Oil maintains that their mergers and acquisitions were because they were superior in their business practices (Crane, 2018; Standard Oil Co. of New Jersey v. United States, 1911). They also maintained that the favorable rebates that they acquired was only because they were bulk freight shipping and took care of loading and unloading, which allowed them to save the railroad company money, and thus give them cheaper rates, among many other grievances that the Department of Justice brought up (Crane, 2018; Montague, 1903). The government argued that the growth of Standard Oil was not natural, and was instead the result of predatory business practices (Crane, 2018; Standard Oil Co. of New Jersey v. United States, 1911). After a year of arguments in the Supreme Court, in 1911, the United States Supreme Court sided with the federal circuit court and upheld the order of dissolution for *Standard Oil of New Jersey* (Standard Oil Co. of New Jersey v. United States, 1911; Wilgus, 1911). Justice White was able to amend the language of the Sherman Antitrust Act so that "'unreasonable' contracts and combinations in restraint of trade would violate the law"(Standard Oil Co. of New Jersey v. United States, 1911; Wilgus, 1911). With the Progressive Era roaring on, the United States is going to have to get used to industrialization and whatever comes with it.

Of course, the Sherman Antitrust Act was still not perfect, and it took until 1914 to get the Clayton Act passed, which strengthened the Sherman Antitrust Act even further. However, this landmark decision by the Supreme Court was a step in the right direction for dismantling monopolies and promoting competitive markets.

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